

LTV

TERM — flip for definition

Loan-to-Value

The percentage of a property's value that is covered by loan financing.

EXAMPLE:

An \$80,000 mortgage on a \$100,000 property is an 80% LTV.

Related: Equity; Mortgage; Down Payment; Appraisal

ARV

TERM — flip for definition

After Repair Value

The estimated market value of a property once planned renovations are complete.

EXAMPLE:

An investor buys a fixer-upper for \$120,000, expecting it to be worth \$180,000 ARV after repairs.

Related: Fix and Flip; Rehab Budget; Comparable Sale; ROI

NOI

TERM — flip for definition

Net Operating Income

The income a property generates after operating expenses, before mortgage payments and taxes.

EXAMPLE:

A rental with \$50,000 in rent and \$20,000 in expenses has an NOI of \$30,000.

Related: Cap Rate; Gross Rent; Operating Expenses; Cash Flow

Cap Rate

TERM — flip for definition

Capitalization Rate

A property's NOI divided by its purchase price or value, used to compare investment returns.

EXAMPLE:

A property with \$30,000 NOI valued at \$400,000 has a 7.5% cap rate.

Related: NOI; ROI; Market Value; Cash-on-Cash Return

Cash-on-Cash Return

TERM — flip for definition

Cash-on-Cash Return

The annual pre-tax cash flow a property produces divided by the actual cash invested.

EXAMPLE:

An investor who puts \$50,000 down and receives \$5,000 in annual cash flow earns a 10% cash-on-cash return.

Related: Cap Rate; Leverage; Down Payment; Cash Flow

Equity

TERM — flip for definition

Equity

The portion of a property's value the owner actually owns, after subtracting any debt against it.

EXAMPLE:

A home worth \$300,000 with a \$200,000 mortgage balance has \$100,000 in equity.

Related: LTV; Mortgage; Appreciation; Net Worth

Leverage

TERM — flip for definition

Leverage

Using borrowed money to increase the potential return on an investment.

EXAMPLE:

Buying a \$200,000 property with a \$40,000 down payment uses leverage to control an asset worth five times the cash invested.

Related: Mortgage; Equity; LTV; ROI

Mortgage

TERM — flip for definition

Mortgage

A loan used to purchase real estate, secured by the property itself.

EXAMPLE:

A buyer takes out a 30-year mortgage to finance a home purchase.

Related: Principal; Interest; Amortization; Lien

Principal

TERM — flip for definition

Principal

The original amount borrowed on a loan, not counting interest.

EXAMPLE:

On a \$200,000 mortgage, the principal is \$200,000 regardless of how much interest accrues over time.

Related: Interest; Amortization; Mortgage; Balloon Payment

Interest

TERM — flip for definition

Interest

The cost charged by a lender for borrowing money, usually expressed as a percentage rate.

EXAMPLE:

A \$200,000 loan at 6% interest costs roughly \$12,000 in interest in the first year.

Related: Principal; APR; Amortization; Fixed-Rate Mortgage

Amortization

TERM — flip for definition

Amortization

The gradual repayment of a loan through scheduled payments that cover both principal and interest.

EXAMPLE:

A 30-year amortization schedule shows how each payment shifts from mostly interest to mostly principal over time.

Related: Principal; Interest; Mortgage; Balloon Payment

Appraisal

TERM — flip for definition

Appraisal

A professional's estimate of a property's market value, often required by lenders before approving a loan.

EXAMPLE:

A lender orders an appraisal to confirm the home is worth at least the purchase price before funding the loan.

Related: Comparable Sale; Market Value; LTV; Underwriting

Comparable Sale

TERM — flip for definition

Comparable Sale ("Comp")

A recently sold property similar in size, condition, and location, used to estimate another property's value.

EXAMPLE:

An appraiser compares three nearby three-bedroom homes sold in the last six months to value the subject property.

Related: Appraisal; Market Value; Comparable Property; MLS

Comparable Property

TERM — flip for definition

Comparable Property

A property similar enough to another in features and location to support a value comparison.

EXAMPLE:

Investors look at comparable properties before deciding whether an asking price is reasonable.

Related: Comparable Sale; Appraisal; Market Value

Closing Costs

TERM — flip for definition

Closing Costs

Fees and expenses paid at the end of a real estate transaction, beyond the purchase price.

EXAMPLE:

Closing costs on a \$250,000 home might run \$5,000 to \$7,500, covering title, lender, and recording fees.

Related: Escrow; Title Insurance; Earnest Money; Due Diligence

Escrow

TERM — flip for definition

Escrow

A neutral third party that holds funds or documents until all conditions of a transaction are met.

EXAMPLE:

The buyer's earnest money sits in escrow until closing.

Related: Closing Costs; Earnest Money; Title; Contingency

Title

TERM — flip for definition

Title

Legal ownership of a property, along with the rights that come with it.

EXAMPLE:

The seller transfers title to the buyer at closing.

Related: Deed; Title Insurance; Lien; Chain of Title

Title Insurance

TERM — flip for definition

Title Insurance

Insurance that protects a buyer or lender against losses from defects in a property's title.

EXAMPLE:

Title insurance would cover the buyer if an old, unresolved lien surfaced after closing.

Related: Title; Lien; Encumbrance; Closing Costs

Deed

TERM — flip for definition

Deed

The legal document that transfers ownership of real property from one party to another.

EXAMPLE:

The seller signs the deed over to the buyer at closing.

Related: Title; Grant Deed; Quitclaim Deed; Deed of Trust

Lien

TERM — flip for definition

Lien

A legal claim against a property that must typically be resolved before it can be sold with clear title.

EXAMPLE:

A contractor places a lien on a property after not being paid for renovation work.

Related: Title; Encumbrance; Foreclosure; Title Insurance

Encumbrance

TERM — flip for definition

Encumbrance

Any claim, lien, or restriction that limits or affects a property's title.

EXAMPLE:

An unpaid property tax bill is an encumbrance that must be cleared before sale.

Related: Lien; Easement; Title; Title Insurance

Property Tax

TERM — flip for definition

Property Tax

A recurring tax assessed by local government based on a property's value.

EXAMPLE:

A homeowner pays annual property tax based on the county's assessed value of the home.

Related: Assessed Value; HOA; Homestead Exemption; Escrow

HOA

TERM — flip for definition

Homeowners Association

An organization that manages shared spaces and enforces rules in a community, funded by member fees.

EXAMPLE:

The HOA charges \$200 a month to maintain the pool and landscaping.

Related: Property Tax; Condominium; CAM; Common Area Maintenance

Vacancy Rate

TERM — flip for definition

Vacancy Rate

The percentage of a property's rentable units that are unoccupied over a given period.

EXAMPLE:

A 100-unit building with 5 empty units has a 5% vacancy rate.

Related: Occupancy; Gross Rent; NOI; Rent Roll

Gross Rent

TERM — flip for definition

Gross Rent

The total rental income a property generates before any expenses are subtracted.

EXAMPLE:

A 10-unit building renting each unit for \$1,000 generates \$10,000 in gross rent monthly.

Related: Net Rent; NOI; Vacancy Rate; Rent Roll

Net Rent

TERM — flip for definition

Net Rent

Rental income remaining after operating expenses are subtracted from gross rent.

EXAMPLE:

After expenses, a property with \$10,000 gross rent might produce \$6,000 in net rent.

Related: Gross Rent; NOI; Operating Expenses

Rent Roll

TERM — flip for definition

Rent Roll

A document listing all units in a property along with tenant names, lease terms, and rent amounts.

EXAMPLE:

An investor reviews the rent roll before buying an apartment building to confirm actual rental income.

Related: Gross Rent; Lease; Tenant; Due Diligence

Lease

TERM — flip for definition

Lease

A legally binding agreement that lets a tenant use a property for a set period in exchange for rent.

EXAMPLE:

The tenant signs a 12-month lease at \$1,500 per month.

Related: Tenant; Landlord; Security Deposit; Triple Net Lease

Security Deposit

TERM — flip for definition

Security Deposit

Money a tenant pays upfront that a landlord can use to cover damages or unpaid rent.

EXAMPLE:

The landlord holds a \$1,500 security deposit equal to one month's rent.

Related: Lease; Tenant; Landlord

Tenant

TERM — flip for definition

Tenant

A person or business that pays to occupy and use a property owned by someone else.

EXAMPLE:

The tenant pays rent each month under the terms of the lease.

Related: Landlord; Lease; Occupancy

Landlord

TERM — flip for definition

Landlord

A property owner who rents the property to a tenant.

EXAMPLE:

The landlord is responsible for major repairs under most lease agreements.

Related: Tenant; Lease; Property Management

Occupancy

TERM — flip for definition

Occupancy

The status or rate of a property being lived in or used, as opposed to sitting vacant.

EXAMPLE:

A building running at 95% occupancy has only 5% of its units empty.

Related: Vacancy Rate; Owner-Occupied; Tenant

DSCR

TERM — flip for definition

Debt Service Coverage Ratio

A measure of whether a property's income is enough to cover its loan payments.

EXAMPLE:

A property with \$60,000 NOI and \$50,000 in annual debt payments has a DSCR of 1.2.

Related: NOI; Underwriting; Cash Flow; Hard Money Loan

Hard Money Loan

TERM — flip for definition

Hard Money Loan

A short-term loan from private lenders, secured by real estate, usually at higher rates and used for quick or risky deals.

EXAMPLE:

An investor uses a hard money loan to close on a fixer-upper quickly, then refinances after renovating.

Related: Private Money; Fix and Flip; BRRRR Strategy

Private Money

TERM — flip for definition

Private Money

Funds loaned by an individual rather than a bank or institutional lender, often on negotiated terms.

EXAMPLE:

A friend lends an investor \$50,000 at 10% interest to fund a flip.

Related: Hard Money Loan; Seller Financing; Leverage

Seller Financing

TERM — flip for definition

Seller Financing

An arrangement where the seller acts as the lender, letting the buyer make payments directly to them instead of a bank.

EXAMPLE:

The seller carries a \$150,000 note so the buyer doesn't need a traditional mortgage.

Related: Owner Will Carry; Land Contract; Balloon Payment

Owner Will Carry

TERM — flip for definition

Owner Will Carry (OWC)

A listing term signaling the seller is willing to finance part or all of the purchase themselves.

EXAMPLE:

The listing notes "Owner Will Carry" to attract buyers who can't qualify for a bank loan.

Related: Seller Financing; Balloon Payment; Land Contract

Balloon Payment

TERM — flip for definition

Balloon Payment

A large final payment due at the end of a loan term that doesn't fully amortize the balance beforehand.

EXAMPLE:

A 5-year loan with small payments ends with a \$150,000 balloon payment due in full.

Related: Amortization; Seller Financing; Refinancing

Refinancing

TERM — flip for definition

Refinancing

Replacing an existing loan with a new one, often to get better terms or pull out equity.

EXAMPLE:

A homeowner refinances to lower their interest rate from 7% to 5.5%.

Related: Cash-Out Refinance; Mortgage; Equity; Rate Lock

Foreclosure

TERM — flip for definition

Foreclosure

The legal process by which a lender takes back a property after the borrower stops making payments.

EXAMPLE:

The bank begins foreclosure after the owner misses six months of mortgage payments.

Related: Short Sale; REO; Lien; Default

Short Sale

TERM — flip for definition

Short Sale

Selling a property for less than what's owed on the mortgage, with lender approval.

EXAMPLE:

The bank agrees to a short sale rather than pursuing a costly foreclosure.

Related: Foreclosure; REO; Lien

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Basic

REO

TERM — flip for definition

Real Estate Owned

A property that has gone through foreclosure and is now owned directly by the lender.

EXAMPLE:

The bank lists the REO property for sale after the foreclosure process concludes.

Related: Foreclosure; Short Sale; Lien

Earnest Money

TERM — flip for definition

Earnest Money

A deposit a buyer puts down to show serious intent to purchase, held in escrow toward closing.

EXAMPLE:

The buyer puts down \$5,000 in earnest money when the offer is accepted.

Related: Escrow; Closing Costs; Contingency

Due Diligence

TERM — flip for definition

Due Diligence

The research and verification a buyer performs before finalizing a purchase.

EXAMPLE:

During due diligence, the buyer reviews the rent roll, inspects the property, and checks the title.

Related: Inspection; Rent Roll; Contingency; Title

Inspection

TERM — flip for definition

Inspection

A professional evaluation of a property's physical condition, typically done before purchase.

EXAMPLE:

The inspection reveals an aging roof that needs replacement within two years.

Related: Due Diligence; Contingency; Appraisal

Contingency

TERM — flip for definition

Contingency

A condition in a purchase contract that must be met before the deal can close.

EXAMPLE:

The offer includes a financing contingency, letting the buyer walk away if the loan falls through.

Related: Due Diligence; Inspection; Earnest Money

Zoning

TERM — flip for definition

Zoning

Local government rules that dictate how a property or area of land can be used.

EXAMPLE:

The property is zoned for residential use only, so a business can't legally operate there.

Related: Setback; Variance; Building Permit

Commercial Property

TERM — flip for definition

Commercial Property

Real estate used primarily for business purposes rather than as a residence.

EXAMPLE:

An office building leased to businesses is a commercial property.

Related: Residential Property; Triple Net Lease; NOI

Residential Property

TERM — flip for definition

Residential Property

Real estate used primarily as a home or dwelling.

EXAMPLE:

A single-family house or apartment building is residential property.

Related: Commercial Property; Multifamily Property; Single-Family Property

Multifamily Property

TERM — flip for definition

Multifamily Property

A residential building with more than one separate housing unit, such as a duplex or apartment complex.

EXAMPLE:

An investor buys a 20-unit multifamily property to generate rental income.

Related: Residential Property; Rent Roll; Occupancy

Single-Family Property

TERM — flip for definition

Single-Family Property

A standalone residential property designed to house one household.

EXAMPLE:

A single-family property is often easier to finance than a multifamily building.

Related: Residential Property; Multifamily Property; Condominium

Condominium

TERM — flip for definition

Condominium

An individually owned unit within a larger building or complex, with shared common areas managed by an HOA.

EXAMPLE:

The buyer owns the condominium unit outright but pays HOA fees for shared amenities.

Related: HOA; Multifamily Property; Common Area Maintenance

1031 Exchange

TERM — flip for definition

1031 Exchange

A U.S. tax provision letting an investor defer capital gains tax by reinvesting sale proceeds into a similar property.

EXAMPLE:

An investor sells a rental property and uses a 1031 exchange to buy a larger one without paying capital gains tax right away.

Related: Capital Gain; ROI; Depreciation

Pre-Approval

TERM — flip for definition

Pre-Approval

A lender's conditional commitment to loan a buyer a specific amount, based on verified financial information.

EXAMPLE:

A buyer gets pre-approved for \$300,000 before making offers on homes.

Related: Pre-Qualification; Underwriting; Mortgage

Pre-Qualification

TERM — flip for definition

Pre-Qualification

An informal, unverified estimate of how much a buyer might be able to borrow.

EXAMPLE:

Pre-qualification gives a rough budget but carries less weight with sellers than pre-approval.

Related: Pre-Approval; Underwriting; Mortgage

Fixed-Rate Mortgage

TERM — flip for definition

Fixed-Rate Mortgage

A mortgage with an interest rate that stays the same for the entire loan term.

EXAMPLE:

A 30-year fixed-rate mortgage keeps the same monthly principal-and-interest payment for 30 years.

Related: Adjustable-Rate Mortgage; Amortization; Interest

Adjustable-Rate Mortgage

TERM — flip for definition

Adjustable-Rate Mortgage (ARM)

A mortgage with an interest rate that can change periodically based on market conditions.

EXAMPLE:

A 5/1 ARM has a fixed rate for five years, then adjusts annually after that.

Related: Fixed-Rate Mortgage; Refinancing; Interest

PMI

TERM — flip for definition

Private Mortgage Insurance

Insurance lenders require when a buyer puts down less than 20%, protecting the lender if the borrower defaults.

EXAMPLE:

A buyer with a 10% down payment pays PMI until they reach 20% equity.

Related: LTV; Down Payment; FHA Loan

FHA Loan

TERM — flip for definition

FHA Loan

A government-backed mortgage designed to help buyers qualify with lower down payments and credit scores.

EXAMPLE:

A first-time buyer uses an FHA loan to purchase with just 3.5% down.

Related: PMI; Conventional Loan; VA Loan

VA Loan

TERM — flip for definition

VA Loan

A mortgage program for eligible veterans and service members, often requiring no down payment.

EXAMPLE:

A veteran buys a home with a VA loan and no down payment.

Related: FHA Loan; Conventional Loan; Down Payment

Conventional Loan

TERM — flip for definition

Conventional Loan

A mortgage not backed by a government agency, typically requiring stronger credit and a larger down payment.

EXAMPLE:

A buyer with strong credit and 20% down chooses a conventional loan to avoid PMI.

Related: FHA Loan; VA Loan; PMI

Jumbo Loan

TERM — flip for definition

Jumbo Loan

A mortgage that exceeds the loan limits set for standard conventional financing, usually requiring stricter qualification.

EXAMPLE:

A buyer purchasing a \$1.5 million home needs a jumbo loan since it exceeds conventional limits.

Related: Conventional Loan; Underwriting; LTV

Underwriting

TERM — flip for definition

Underwriting

The lender's process of verifying a borrower's finances and the property's value before approving a loan.

EXAMPLE:

Underwriting confirms the buyer's income, debt, and the appraisal before final loan approval.

Related: Pre-Approval; Appraisal; DSCR

Down Payment

TERM — flip for definition

Down Payment

The portion of a property's purchase price the buyer pays upfront in cash.

EXAMPLE:

A \$20,000 down payment on a \$200,000 home represents 10% down.

Related: LTV; Mortgage; Equity

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Basic

Mortgage Points

TERM — flip for definition

Mortgage Points

Upfront fees paid to a lender at closing in exchange for a lower interest rate.

EXAMPLE:

Paying one point (1% of the loan) might lower the rate by roughly 0.25%.

Related: Interest; Closing Costs; Rate Lock

HELOC

TERM — flip for definition

Home Equity Line of Credit

A revolving credit line secured by a homeowner's equity, usable and repayable like a credit card.

EXAMPLE:

A homeowner opens a HELOC to fund renovations, drawing only what they need.

Related: Home Equity Loan; Equity; Cash-Out Refinance

Home Equity Loan

TERM — flip for definition

Home Equity Loan

A lump-sum loan secured by a homeowner's equity, repaid in fixed installments.

EXAMPLE:

A homeowner takes a \$30,000 home equity loan to pay off higher-interest debt.

Related: HELOC; Equity; Refinancing

Cash-Out Refinance

TERM — flip for definition

Cash-Out Refinance

Refinancing a mortgage for more than what's owed and taking the difference in cash.

EXAMPLE:

An owner refinances a \$150,000 balance into a \$200,000 loan and pockets \$50,000 cash.

Related: Refinancing; Equity; HELOC

Assumable Mortgage

TERM — flip for definition

Assumable Mortgage

A mortgage that allows a buyer to take over the seller's existing loan terms instead of getting a new loan.

EXAMPLE:

A buyer assumes the seller's low fixed rate through an assumable VA loan.

Related: VA Loan; FHA Loan; Refinancing

Deed of Trust

TERM — flip for definition

Deed of Trust

A legal document used in some states instead of a mortgage, securing a loan with real property through a third-party trustee.

EXAMPLE:

In a deed-of-trust state, the trustee can foreclose without going through court.

Related: Mortgage; Title; Foreclosure

Grant Deed

TERM — flip for definition

Grant Deed

A deed that transfers ownership and guarantees the seller hasn't already sold or encumbered the property elsewhere.

EXAMPLE:

The seller conveys the property using a grant deed at closing.

Related: Deed; Quitclaim Deed; Title

Quitclaim Deed

TERM — flip for definition

Quitclaim Deed

A deed that transfers whatever interest the grantor has in a property, without guaranteeing clear title.

EXAMPLE:

A quitclaim deed is often used to transfer property between family members.

Related: Deed; Grant Deed; Title

Easement

TERM — flip for definition

Easement

A legal right for someone to use part of another person's property for a specific purpose.

EXAMPLE:

A utility company holds an easement to run power lines across the back of the lot.

Related: Encumbrance; Right of Way; Title

Right of Way

TERM — flip for definition

Right of Way

A type of easement granting the legal right to pass through another person's property.

EXAMPLE:

The neighbor has a right of way to access the road through the owner's driveway.

Related: Easement; Encumbrance

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Basic

Setback

TERM — flip for definition

Setback

The minimum distance a structure must be built from a property line, street, or other structure.

EXAMPLE:

Local zoning requires a 15-foot setback from the front property line.

Related: Zoning; Variance; Building Permit

Variance

TERM — flip for definition

Variance

Official permission to deviate from a zoning rule, granted for a specific property.

EXAMPLE:

The owner requests a variance to build closer to the property line than zoning normally allows.

Related: Zoning; Setback; Building Permit

Building Permit

TERM — flip for definition

Building Permit

Official government approval required before construction or major renovation work begins.

EXAMPLE:

The contractor pulls a building permit before starting the addition.

Related: Zoning; Certificate of Occupancy; Capital Improvement

Certificate of Occupancy

TERM — flip for definition

Certificate of Occupancy

An official document confirming a building meets code and is legally safe to occupy.

EXAMPLE:

The city issues a certificate of occupancy once final inspections pass.

Related: Building Permit; Inspection; Zoning

MLS

TERM — flip for definition

Multiple Listing Service

A database real estate agents use to share and search property listings for sale.

EXAMPLE:

The agent lists the home on the MLS so other agents can bring buyers.

Related: Listing Agreement; Days on Market; Buyer's Agent

Listing Agreement

TERM — flip for definition

Listing Agreement

A contract authorizing a real estate agent to market and sell a property on the owner's behalf.

EXAMPLE:

The seller signs a 90-day listing agreement with their agent.

Related: [MLS](#); [Seller's Agent](#); [Commission](#)

Buyer's Agent

TERM — flip for definition

Buyer's Agent

A real estate agent who represents the buyer's interests in a transaction.

EXAMPLE:

The buyer's agent helps negotiate price and coordinates the inspection.

Related: Seller's Agent; Dual Agency; Commission

Seller's Agent

TERM — flip for definition

Seller's Agent

A real estate agent who represents the seller's interests in a transaction.

EXAMPLE:

The seller's agent markets the home and negotiates offers on the seller's behalf.

Related: Buyer's Agent; Listing Agreement; Dual Agency

Dual Agency

TERM — flip for definition

Dual Agency

A situation where one agent or brokerage represents both the buyer and the seller in the same transaction.

EXAMPLE:

Some states restrict or require disclosure for dual agency due to the conflict of interest it creates.

Related: Buyer's Agent; Seller's Agent; Commission

Commission

TERM — flip for definition

Real Estate Commission

The fee, usually a percentage of sale price, paid to agents for facilitating a real estate transaction.

EXAMPLE:

A 5% commission on a \$300,000 sale totals \$15,000, typically split between agents.

Related: Listing Agreement; Buyer's Agent; Seller's Agent

Open House

TERM — flip for definition

Open House

A scheduled period when a listed property is shown to the public without an appointment.

EXAMPLE:

The agent hosts an open house on Sunday to attract potential buyers.

Related: MLS; Listing Agreement; Days on Market

Days on Market

TERM — flip for definition

Days on Market (DOM)

The number of days a property has been actively listed for sale.

EXAMPLE:

A home with 60 days on market may signal it's overpriced for the current market.

Related: MLS; Absorption Rate; Market Value

Absorption Rate

TERM — flip for definition

Absorption Rate

The rate at which available properties in a market sell over a given period, used to gauge market conditions.

EXAMPLE:

A high absorption rate suggests a seller's market with strong demand.

Related: Days on Market; Vacancy Rate; Market Value

Market Value

TERM — flip for definition

Market Value

The price a property would likely sell for in the current market under normal conditions.

EXAMPLE:

An appraisal estimates market value based on recent comparable sales.

Related: Appraisal; Comparable Sale; Assessed Value

Assessed Value

TERM — flip for definition

Assessed Value

The value a local government assigns to a property for property tax purposes.

EXAMPLE:

Property tax is calculated using the assessed value, which may differ from market value.

Related: Property Tax; Market Value; HOA

Replacement Cost

TERM — flip for definition

Replacement Cost

The estimated cost to rebuild a property from scratch at current prices, used mainly for insurance purposes.

EXAMPLE:

An insurer bases coverage on the replacement cost rather than the property's market value.

Related: Market Value; Capital Improvement; Depreciation

Capital Improvement

TERM — flip for definition

Capital Improvement

A permanent upgrade to a property that adds value or extends its useful life, as opposed to routine repairs.

EXAMPLE:

Replacing a roof is a capital improvement; patching a leak is routine maintenance.

Related: Replacement Cost; Depreciation; Building Permit

Property Management

TERM — flip for definition

Property Management

The day-to-day oversight of a rental property, including tenants, maintenance, and rent collection.

EXAMPLE:

The owner hires a property management company to handle tenant issues and repairs.

Related: Landlord; Tenant; Rent Roll

Turnkey Property

TERM — flip for definition

Turnkey Property

An investment property that's fully renovated and rent-ready, requiring no additional work before use.

EXAMPLE:

The investor buys a turnkey property with a tenant already in place.

Related: Fix and Flip; Property Management; Cash Flow

Fix and Flip

TERM — flip for definition

Fix and Flip

A strategy of buying an undervalued property, renovating it, and reselling it quickly for profit.

EXAMPLE:

The investor buys a distressed home for \$120,000 and sells it for \$190,000 after \$30,000 in repairs.

Related: ARV; Hard Money Loan; ROI

BRRRR Strategy

TERM — flip for definition

Buy, Rehab, Rent, Refinance, Repeat

An investing method where an investor buys and renovates a property, rents it out, refinances to pull cash back out, then repeats.

EXAMPLE:

After renovating and renting a property, the investor refinances based on the higher ARV to recover their initial cash for the next deal.

Related: ARV; Refinancing; Cash-on-Cash Return

Wholesaling

TERM — flip for definition

Wholesaling

Contracting to buy a property at a low price, then assigning that contract to another buyer for a fee before closing.

EXAMPLE:

A wholesaler puts a distressed property under contract for \$100,000 and assigns it to an investor for \$108,000.

Related: Fix and Flip; Due Diligence; Earnest Money

Triple Net Lease

TERM — flip for definition

Triple Net Lease (NNN)

A commercial lease where the tenant pays property taxes, insurance, and maintenance in addition to rent.

EXAMPLE:

Under a triple net lease, the tenant covers most operating costs, giving the landlord more predictable income.

Related: Commercial Property; CAM; Gross Lease

Common Area Maintenance

TERM — flip for definition

Common Area Maintenance (CAM)

Fees charged to commercial tenants to cover the upkeep of shared spaces like lobbies, parking, and landscaping.

EXAMPLE:

CAM charges are billed to tenants alongside base rent in many commercial leases.

Related: Triple Net Lease; HOA; Commercial Property

Prepayment Penalty

TERM — flip for definition

Prepayment Penalty

A fee some lenders charge if a borrower pays off a loan early.

EXAMPLE:

The borrower avoids refinancing sooner than planned to sidestep a prepayment penalty.

Related: Refinancing; Balloon Payment; Mortgage

Rate Lock

TERM — flip for definition

Rate Lock

A lender's commitment to hold a specific interest rate for a set period while a loan is being processed.

EXAMPLE:

The buyer locks their rate for 45 days to protect against rates rising before closing.

Related: Mortgage Points; Underwriting; Fixed-Rate Mortgage